	Content	Illustrative guidance for teachers
nomic)	**Balance of payments on current account** • Deficits and surpluses. • Trade in goods (visibles) and trade in services (invisibles)	*Modern examples of the current account, from a country choice, are required.*
	Protection of the environment • Use of regulation and taxation to influence business and consumer behaviour.	*Students should note that exchange rates are dealt with u Section D of the subject content,* ***The Global Economy****.* *Students should be aware that the environment is increas concern of governments.* *External cost/benefits diagrams are* ***not*** *required.*
deal omic flation, ment, e of on count otection ronment	**Policy instruments** **Demand side** • Fiscal: government revenue and expenditure. • Revenue: direct and indirect taxation. • Main areas of public sector spending. • Taxation, regulation and incentives aimed at the protection of the environment. • Monetary: – interest rates and money supply – effects of interest rates on consumers' and firms' decisions. • Money supply: relationship with interest rates and inflation.	*Students are* ***not*** *required to draw diagrams or to use Agg Supply/Aggregate Demand model (AS/AD) analysis in the answers.* *Students should understand that fiscal policy operates thr government budgets and appreciate the likely impact of a deficit or surplus. Detailed knowledge of any specific bud* ***not*** *required.* *Students are* ***not*** *required to have detailed knowledge of r supply definitions.*
	Supply side • Supply side policies: privatisation; deregulation; education and training; productivity of the workforce.	*Students should understand that supply side policies oper a longer term than demand side policies.*

	Content	Illustrative guidance for teachers
ip **bjectives** **es** ether	• The different effects that macroeconomic measures may have on the five macroeconomic objectives. • These effects will be both positive and negative, and may involve trade-offs between objectives and issues of equity.	*This section should not be seen as a separate part. Analysis and evaluation of objectives and policies should be part of Sections C1 and C2.* *Students are expected to be able to analyse and evaluate the effectiveness of different policies in a variety of economic situations.*

bal Economy

	Content	Illustrative guidance for teachers
ion	• The increasing integration and interdependence of national economies. • MNCs (multi-national companies) source factors, produce and sell in various countries. • Reasons for globalised operations; key drivers in global economy, including role of ICT, transport and tourism. • FDI (foreign direct investment) and development aid as factors encouraging globalisation. • Winners and losers from globalisation: – MNCs and developed countries – international debt, commodity prices and living standards in developing countries – effect on the development gap – impacts on the natural environment.	*Study of the global operations of a named MNC (MNCs include major banks).* *Students should also understand the role of the government in globalisation.* *Analysis and evaluation of modern examples of inward investment into a country of your choice, of a development aid project, and of the effects of debt and export prices for commodities on living standards in any named developing country.*
nal trade	**Growth and change in international trade** • Significance of trade in goods and services: – for choice and competition – for growth and GDP. • Free trade and protection: tariffs, quotas and subsidies for national security or domestic employment reasons.	*The Law of Comparative Advantage* ***not*** *required.* *Students should have knowledge of the advantages and disadvantages of free trade and protection.* *Basic supply and demand diagrams to show the impact of tariffs, subsidies and quotas on foreign trade are required.*

	Content	Illustrative guidance for teachers
nal trade)	**Changing patterns of world trade:** • Modern trading blocs — effects of bloc on member and non-member countries. • The WTO (World Trade Organization) and growth of international trade • Contrast between developed and developing countries.	*Students will need modern examples of the involvement in world trade of a country of your choice. Named examples of regional trade blocs.* *Students should be able to recall examples of WTO action and its effects.*
rates	**The world wide significance of exchange rates** • Factors affecting exchange rates through demand for and supply of currencies: – imports and exports of goods and services – interest rates – currency speculation. • Impact of exchange rate changes on: – import and export prices – balance of payments on current account. • Currency depreciation/devaluation as current account deficit policy.	*Students will need modern examples of the world's prime rates and the exchange rates of a country of your choice.* *Students should be able to draw demand and supply diagrams to analyse exchange rate determination and change. Students should consider the effect of price elasticity of demand for imports and exports on the balance of payments on current account.*